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IN THE TAX APPEAL COURT OF THE STATE OF HAWAII

CATHERINE K. COBB, NOW KNOWN AS CATHERINE PARRY,

Taxpayer-Appellant.

IN THE MATTER OF THE APPEAL of

CASE NO. 1CTX-21-0000001

APPELLEE DIRECTOR OF TAXATION, STATE OF HAWAII'S MOTION FOR PARTIAL DISMISSAL OF NOTICE OF APPEAL TO TAX APPEAL COURT; MEMORANDUM IN SUPPORT OF MOTION

Honorable Gary W.B. Chang

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Appellee Director of Taxation, State of Hawaii, by and through his undersigned counsel, hereby moves for partial dismissal of the Notice of Appeal to Tax Appeal Court, filed by Taxpayer-Appellant Catherine K. Cobb, now known as Catherine Parry ("Appellant") on January 5, 2021 on the grounds that the Court lacks subject matter jurisdiction over the appeal. This Motion is made pursuant to Rule 7 of the Rules of the Tax Appeal Court of the State of Hawaii, Rules 7 and 12 of the Hawaii Rules of Civil Procedure, and Rule 7 of the Rules of the Circuit Courts of the State of Hawaii, and is based on the attached Memorandum in Support of Motion; the Declarations of Le Nguyen and Kristen M.R. Sakamoto; the attached exhibits; the records and files herein; and such further arguments as may be made at the hearing on this Motion.

MEMORANDUM IN SUPPORT OF MOTION

The instant appeal of the Final Notice of Personal Liability for General Excise Tax[1] should be dismissed for lack of subject matter jurisdiction because Appellant Catherine K. Cobb, now known as Catherine Parry ("Appellant"), failed to make a payment under protest prior to filing the Notice of Appeal to Tax Appeal Court.

The Hawaii Revised Statutes (HRS) confers jurisdiction on the Tax Appeal Court to hear appeals from (1) assessments pursuant to HRS § 237-42, (2) denials of refund claims pursuant to HRS § 232-14.5, and (3) payments under protest pursuant to HRS § 40-35. The Final Notice of Personal Liability for General Excise Tax, which was issued pursuant to HRS § 237-41.5, is not an assessment or a denial of a refund claim. Accordingly, the Final Notice of Personal Liability for General Excise Tax may only be appealed to the Tax Appeal Court under HRS § 40-35 by

[1] Appellee Director of Taxation is not contesting jurisdiction as to Appellant's appeal of the Notice of Final Assessment of Withholding Tax by way of this Motion.

making a payment under protest. Appellant failed, however, to make a payment under protest before commencing the instant appeal. The Notice of Appeal to Tax Appeal Court should therefore be dismissed with respect to the Final Notice of Personal Liability for General Excise Tax based on lack of subject matter jurisdiction.

STATEMENT OF FACTS

On December 22, 2020, The Department of Taxation, State of Hawaii (DOTAX) issued Appellant a Final Notice of Personal Liability for General Excise Tax pursuant to HRS § 237-41.5 for taxes owed by Kailua Print Shop L.L.C. (Ex. A.) The Final Notice of Personal Liability for General Excise Tax sought to recover $79,596.16 in principal, penalties, and interest for tax years 2015 to 2019 and for the period ending March 31, 2020. (Ex. A.) DOTAX also issued Appellant a Notice of Final Assessment of Withholding Tax pursuant to HRS § 235-64 for taxes owed by Kailua Print Shop L.L.C. (Ex. B.) On January 5, 2021, Appellant filed a Notice of Appeal to Tax Appeal Court to appeal the Final Notice of Personal Liability for General Excise Tax and the Notice of Final Assessment of Withholding Tax. (Ex. C.) Appellant did not make a payment under protest before filing the Notice of Appeal to Tax Appeal Court. (Nguyen Decl. ¶ 5.)

ARGUMENT

I. STANDARD OF REVIEW.

Review of a motion to dismiss for lack of subject matter jurisdiction is based on the contents of the complaint, the allegations of which are accepted as true and construed in the light most favorable to the plaintiff. *Yamane v. Pohlson*, 111 Hawaii 74, 81 (2006). The Court may, however, when considering a motion to dismiss under Rule 12(b)(1) of the Hawaii Rules of Civil

Procedure (HRCP), review any evidence, such as affidavits and testimony, to resolve factual disputes concerning the existence of jurisdiction. *Id.*

"Whenever it appears by suggestion of the parties or otherwise that the court lacks jurisdiction of the subject matter, the court shall dismiss the action." HRCP Rule 12(h)(3). A judgment rendered by a court without subject matter jurisdiction is void. *Ocean Resort Villas Vacation Owners Ass'n v. Cty. of Maui*, 147 Hawaii 544, 552 (2020).

II. THE APPEAL SHOULD BE DISMISSED FOR LACK OF SUBJECT MATTER JURISDICTION.

The Tax Appeal Court "is a statewide court of limited jurisdiction." *Lewis v. Kawafuchi*, 108 Hawaii 69, 73 (2005). "The right of appeal is purely statutory and therefore, the right of appeal is limited as provided by the legislature and compliance with the method and procedure prescribed by it is obligatory." *Matter of Lower Mapunapuna Tenants Ass'n*, 73 Haw. 63, 68 (1992) (internal quotations and ellipsis omitted) (quoting *In re Taxes, Kenneth K. Kobayashi*, 44 Haw. 584, 593 (1961); *see also Kinkaid v. Bd. of Review of City & Cty. of Honolulu*, 106 Hawaii 318, 323 (2004), as amended (Nov. 10, 2004) ("[t]he jurisdictions of the respective courts" are "matters of statutory concern").

With respect to general excise taxes, the HRS confers jurisdiction on the Tax Appeal Court to hear appeals from (1) assessments pursuant to HRS § 237-42, (2) denials of refund claims pursuant to HRS § 232-14.5, and (3) payments under protest pursuant to HRS § 40-35. Because the Final Notice of Personal Liability for General Excise Tax is not an assessment or a denial of refund, Appellant's judicial remedy is limited to a payment under protest, which Appellant failed to make. The appeal of the Final Notice of Personal Liability for General Excise Tax should therefore be dismissed.

A. An Imposition of Personal Liability Pursuant to HRS § 237-41.5 is Not Appealable as an Assessment.

HRS § 237-42 provides that "[a]ny person aggrieved by any assessment of the tax for any month or any year may appeal from the assessment in the manner and within the time and in all other respects as provided in the case of income tax appeals by section 235-114." HRS § 237-42 (emphasis added).

An imposition of personal liability pursuant to HRS § 237-41.5, however, is not an "assessment." HRS § 237-41.5 provides:

> (a) There shall be personal liability for the taxes imposed under this chapter as provided in this section for the following amounts of gross income or gross proceeds:
>
> (1) Any amount collected as a recovery of the taxpayer's liability under this chapter, where the amount is passed on as the tax owed by the taxpayer under this chapter for the transaction and is separately stated or accounted for in a receipt, contract, invoice, billing, or other evidence of the business activity; or
>
> (2) An amount equal to the tax liability under this chapter on a transaction where a taxpayer does not separately state or account for the amount as a tax recovery as provided in paragraph (1). For purposes of this paragraph, the amount of the imputed tax liability is the result of multiplying the gross income or gross proceeds received in the transaction by the tax rate.
>
> The amounts under paragraphs (1) and (2) shall be held in trust for the benefit of the State and for payment to the State in the manner and at the time required by this chapter.
>
> (b) The personal liability under this section applies to any officer, member, manager, or other person having control or supervision over amounts of gross proceeds or gross income collected to pay the general excise tax and held in trust under subsection (a), or who is charged with the responsibility for the filing of returns or the payment of general excise tax on gross income or gross proceeds collected and held in trust under subsection (a). The person shall be personally liable for any unpaid taxes and interest and penalties on those taxes, if such officer or other person wilfully fails to pay or to cause to be paid any taxes due from the taxpayer pursuant to this chapter.
>
> This subsection shall not apply to any officer, manager, or other person having control or supervision over amounts of gross proceeds or gross income collected to pay the general excise tax and held in trust under subsection (a), or who is

charged with the responsibility for the filing of returns or the payment of general excise tax on gross income or gross proceeds collected and held in trust under subsection (a) for a nonprofit organization.

For purposes of this subsection:

"Nonprofit organization" means a corporate entity, association, or other duly chartered entity that is registered with the State and is exempt from the application of this chapter pursuant to section 237-23(a)(3), (4), (5), (6), or (7).

"Wilfully fails to pay or to cause to be paid" shall be construed in accordance with judicial interpretations given to similar provisions of the Internal Revenue Code; consistent therewith, the term "wilfully" shall mean a voluntary, intentional violation of a known legal duty.

(c) An officer, member, manager, or other responsible person shall be liable only for general excise taxes on gross income or gross proceeds collected, plus interest and penalties on those taxes, that became due during the period the person had control, supervision, responsibility, or a duty to act for the taxpayer as described in subsection (b) of this section.

(d) Persons liable under subsection (b) are exempt from liability when nonpayment of the general excise tax on gross income or gross proceeds held in trust is for good cause as determined by the director.

(e) The voluntary or involuntary dissolution of the taxpayer or the withdrawal or surrender of its right to engage in business in this State shall not discharge the liability hereby imposed.

HRS § 237-41.5.

1. An Imposition of Personal Liability on a Third Party is Not an Assessment, as That Term Has Been Defined by the United States Supreme Court.

The term "assessment" is not specifically defined in title 14 of the HRS. The United States Supreme Court, however, has defined "assessment" as "the official recording of a taxpayer's liability" and "the process by which that amount is calculated." *Direct Mktg. Ass'n v. Brohl*, 575 U.S. 1, 10 (2015). In contrast, the United States Supreme Court has defined the term "collection" as "the act of obtaining payment of taxes due." *Id.* The United States Supreme Court explained that "collection is a separate step in the taxation process from assessment and the

reporting on which assessment is based." *Id.* at 10 (internal quotations omitted). For example, after an assessment is certified, the "collection process [would begin] with the collector giving notice to each person liable to pay any taxes stated in the list [of assessments] stating the amount of such taxes and demanding payment thereof." *Id.* (internal quotations, ellipsis, and original brackets omitted) (emphasis added) (quoting Revenue Act of 1934 § 1545(a)).

An imposition of liability on a third party is a collection tool to assist DOTAX in the collection of an existing tax debt owed by another taxpayer. Although the existing tax debt may arise from an assessment[2], an imposition of personal liability pursuant to HRS § 237-41.5 is not itself an assessment. Instead, it is a means of collection that is a "separate step in the taxation process from assessment." *Brohl*, 575 U.S. at 10.

At the time an imposition of personal liability against a third party pursuant to HRS § 237-41.5 is made, the recording of the taxpayer's liability and the calculation of the tax has already been completed, as a person cannot "wilfully fail[ ]" to pay a tax unless a tax liability has been established and becomes past due. *See* HRS § 237-41.5(b) ("The person shall be personally liable for any unpaid taxes and interest and penalties on those taxes, if such officer or other person wilfully fails to pay or to cause to be paid any taxes due from the taxpayer pursuant to this chapter."). Only then, after the tax liability has been established by either an assessment or a self-assessment, and becomes past due, may DOTAX take further steps to attempt to collect the tax debt by imposing personal liability on a third-party officer, member, manager, or other responsible person. *Id.*

[2] An existing tax debt may also arise from a self-assessment, which is an amount of tax liability reported by a taxpayer on a return.

Accordingly, an imposition of personal liability under HRS § 237-41.5 is not an assessment, as that term has been defined by the United States Supreme Court.

2. An Imposition of Personal Liability on a Third Party is Not an Assessment, as That Term is Used in Title 14 of the HRS.

Chapter 237 of the HRS defines the circumstances under which DOTAX may issue an "assessment" for general excise taxes:

(1) If a "recomputation[3] results in an additional tax liability, or if the department proposes to assess any gross income or gross proceeds of sales by reason of the disallowance of an exemption claimed in the return or for which application has been filed." HRS § 237-36.

(2) If "any person fails, neglects, or refuses to make a return." HRS § 237-38.

(3) If, upon audit, DOTAX "determines that any gross income or gross proceeds of sales liable to the tax have not been assessed." HRS § 237-39.

In contrast, HRS § 237-41.5 does not authorize DOTAX to issue an "assessment," but rather, only authorizes DOTAX to impose personal liability on certain third parties when a tax debt owed by the taxpayer, for which the third party is an officer, member, manager, or other responsible person, has not been paid. HRS § 237-41.5. Notably, there are other provisions in the HRS that, like HRS § 237-41.5, relate to an imposition of liability on a third party for the taxes owed by another. Those provisions, unlike HRS § 237-41.5, contain express language that either authorizes the third party to appeal to the Tax Appeal Court as if the third party received an assessment or authorizes DOTAX to issue an assessment to the third party.

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[3] A "recomputation" may result if: "any return made is erroneous, or is so deficient as not to disclose the full tax liability"; "the taxpayer, in the taxpayer's return, shall disclaim liability for the tax on any gross income or gross proceeds of sales liable to the tax"; or "the taxpayer shall make application under section 237-23 for an exemption to which the taxpayer is not entitled." HRS § 237-36.

For example, HRS § 232-1 provides that a person "under a contractual obligation to pay a tax assessed against another . . . shall have the same rights of appeal to . . . the tax appeal court . . . in the person's own name, as if the tax were assessed against the person." HRS § 232-1 (emphasis added). The fact that the legislature affirmatively provided a right to appeal in HRS § 232-1 "as if the tax were assessed against the person" indicates that the person would not have otherwise received an assessment and would not have been able to appeal under HRS § 237-42.

As a further example, HRS § 235-64(b) imposes personal liability on persons who are under a duty to withhold income taxes from the wages of employees, but who wilfully fail to do so. HRS § 235-64(b) provides that the "liability may be assessed and collected in the same manner as the liability [against employers] imposed by subsection (a)." HRS § 235-64(b) (emphasis added).

The liability imposed under HRS § 235-64(b), which may apply to individuals (except those who have ministerial duties) who are responsible for withholding, is separate from the liability imposed on "employers" under HRS § 235-64(a) who fail to withhold or pay income taxes from the wages of employees. HRS § 235-64. For purposes of the withholding of income taxes, employers are treated as the taxpayers. Thus, DOTAX is authorized by statute to assess an "employer" for the failure to withhold and pay income taxes. HRS § 235-108(b) ("[i]f the department of taxation discovers . . . that . . . the liability of an employer in respect of wages, or any portion thereof, has not been assessed, it may assess the same and give notice to the . . . employer of the assessment"). Further, an "employer" is expressly permitted to appeal to the Tax Appeal Court from an assessment. HRS § 235-114 (any "employer appealing from any assessment . . . shall lodge with the assessor . . . a notice of the appeal").

HRS § 235-64(b) therefore imposes liability on persons under a duty to withhold income taxes and also authorizes DOTAX to issue assessments against those persons. The fact that the legislature, in HRS § 235-64(b), affirmatively provided DOTAX with the ability to assess the person being held personally liable "in the same manner" that employers may be assessed indicates that the person would not have otherwise received an assessment, and therefore, would not have been able to appeal the assessment under HRS § 235-114.

Thus, while HRS § 232-1 and HRS § 235-64 expressly contain language that either authorizes a third party who is liable for the tax of another to appeal to the Tax Appeal Court or authorizes DOTAX to issue an assessment to the third party, HRS § 237-41.5, by contrast, contains no such provision. Under rules of statutory construction, it must be presumed that the omission of language in HRS § 237-41.5 authorizing an appeal or authorizing DOTAX to issue an assessment was intentional. *See In re Water Use Permit Applications*, 94 Hawaii 97, 151 (2000) ("[w]here [the legislature] includes particular language in one section of a statute but omits it in another section of the same Act, it is generally presumed that [the legislature] acts intentionally and purposely in the disparate inclusion or exclusion").

Based on the foregoing, an imposition of personal liability pursuant to HRS § 237-41.5 is not appealable as an "assessment" because: (1) it is a "separate step in the taxation process from assessment" that occurs as a means of collection after a tax debt has been established and has gone unpaid; (2) none of the circumstances under HRS §§ 237-36, 237-38, or 237-39, which authorize DOTAX to issue an assessment, apply; (3) there is no statutory authority permitting DOTAX to issue an assessment to a person being held liable pursuant to HRS § 237-41.5; and (4) there is no statutory authority permitting a person being held liable pursuant to HRS § 237-41.5 to treat an imposition of liability as an assessment for purposes of appeal.

Accordingly, an imposition of personal liability pursuant to HRS § 237-41.5 is not appealable as an "assessment."

B. An Imposition of Personal Liability is Not Appealable as a Denial of a Refund.

HRS § 232-14.5 provides, "[t]he denial in whole or in part by the department of taxation of a tax refund claim may be appealed by the filing of a written notice of appeal to a board of review or the tax appeal court within thirty days after notice of the denial of the claim." HRS § 232-14.5(a). Moreover, "[a]n appeal may be filed with a board of review or the tax appeal court for review of the merits of a tax refund claim, upon a notice of appeal filed at any time after one hundred eighty days from the date that the claim was filed." HRS § 232-14.5(b).

Here, Appellant has not paid any taxes for which she has requested a refund. (Nguyen Decl. ¶ 6.) Accordingly, the Final Notice of Personal Liability of General Excise Tax is not a denial of a refund claim appealable under HRS § 232-14.5.

C. Appellant Failed to Follow the Procedures Under HRS § 40-35 for Payment Under Protest, Which is the Sole Appellate Remedy to Contest An Imposition of Personal Liability Pursuant to HRS § 237-41.5.

HRS § 40-35 (a) provides: "Any disputed portion of moneys representing a claim in favor of the State may be paid under protest to a public accountant of the department . . . The protest shall be in writing, signed by the person making the payment, or by the person's agent, and shall set forth the grounds of protest." HRS § 40-35(a). Upon making a payment under protest pursuant to HRS § 40-35(a), an "[a]ction to recover moneys paid under protest or proceedings to adjust the claim may be commenced by the payer or claimant against the public accountant to whom the payment was made, in a court of competent jurisdiction, within thirty days from the

date of payment." HRS § 40-35(b). With respect to an action to recover payment of taxes under protest, said action "shall be commenced in the tax appeal court." *Id.*

Because an imposition of personal liability pursuant to HRS § 237-41.5 may be brought before the Tax Appeal Court by paying the disputed amount with a written protest and subsequently commencing an action in the Tax Appeal Court, the appellate remedy provided under HRS § 40-35 is available to persons who wish to dispute DOTAX's determination. Moreover, because an imposition of personal liability pursuant to HRS § 237-41.5 may not be appealed as an assessment or as a denial of a refund claim, payment under protest is the sole appellate remedy available. *See* HRS § 40-35 (relating to payments under protest); *see also* HRS § 237-42 (relating to assessments); *see also* HRS § 232-14.5 (relating to denial of refund claims).

Here, Appellant failed to make a payment under protest prior to commencing this action. (Nguyen Decl. ¶ 5.) Moreover, Appellant has not filed a complaint in compliance with Rule 1.1 of the Rules of the Tax Appeal Court of the State of Hawaii, which requires the Complaint to state "that action is being taken under said Hawaii Revised Statutes, Section 40-35." Accordingly, this appeal should be dismissed for lack of subject matter jurisdiction.

CONCLUSION

Based on the foregoing, the instant Motion for Partial Dismissal should be granted and the Notice of Appeal should be dismissed with respect to the Final Notice of Personal Liability for General Excise Tax for lack of subject matter jurisdiction because Appellant failed to make a payment under protest, which is the sole appellate remedy for contesting an imposition of personal liability pursuant to HRS § 237-41.5.

DATED: January 25, 2021

Department of the Attorney General, State of Hawaii

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